

EGERTON



UNIVERSITY

UNIVERSITY EXAMINATIONS

RESIT/SPECIAL EXAM

REGULAR - NJORO CAMPUS

SECOND SEMESTER, 2020/2021 ACADEMIC YEAR
FOURTH YEAR RESIT EXAMINATION FOR THE DEGREE IN
HORTICULTURE

AGBM 406: FINANCIAL AND HUMAN RESOURCE MANAGEMENT

STREAM: BSC. HORT/AGRO/AGED

TIME: 2 HRS

EXAMINATION SESSION: AUGUST

YEAR: 2021

INSTRUCTIONS:

- (i) Answer **All** Question in Section A and **Any Other Two** Questions in Section B.
- (ii) Write legibly and be precise in your answers.

SECTION A

Question One

Using an agricultural company of your choice, discuss the importance of human resource planning.

(10 Marks)

Question Two

Motivation is a process that starts with a physiological or psychological need that activates behaviour or a drive that is aimed at a goal. Discuss the non-monetary factors that motivate a person to work.

(10 Marks)

Question Three

Using relevant examples, explain the functions of financial management in agricultural based companies

(10 Marks)

Question Four

Kenya highlands flower firm wishes to expand its output by purchasing a new machine worth 1,700,000 and installation costs are estimated at 400,000/=. In the 3rd year, this machine will call for an overhaul to cost 800,000/=. Its expected inflows are:

	Shs.
Year 1	600,000
Year 2	720,650
Year 3	350,720
Year 4	480,510
Year 5	910,630
Year 6	830,715

This company can raise finance to purchase machine at 12% interest rate.

Use the net present value approach to advise management accordingly. (10 marks)

SECTION B

Question Five

- (a) The executive director of James Finlay has circulated the following information as part of board paper:

James Finlay Financial Performance for the year ended 31 March 2019 and 2020:

	Ratio	2019	2020
i)	Return on investment	12%	10%
ii)	Gross profit margin	25%	20%
iii)	Current ratio	2.1	2.5
iv)	Quick/acid test ratios	7%	10%

Required:

Report on each of the above 4 ratios indicating the reservation, if any, you may have or judging them as improvement in performance. (4 marks)

- (b) Small companies or businesses e.g. small scale greenhouse horticultural farmers sometimes find it difficult to raise debt finance in Kenya.

- (i) Discuss the reasons attributed to this? (6 marks)

- (ii) Explain the solutions to the over reasons in (i) giving practical examples Kenya's business scenario. (5 marks)

Question Six

One of the main work in human resource management is job analysis and design.

- (i) Discuss the purpose of job analysis? (8 marks)
- (ii) Briefly explain the key characteristics of a well-designed job? (7 marks)

Question Seven

Write short notes on the following;

- (a) Importance of motivation (4 marks)
- (b) Job enrichment (3 marks)
- (c) Roles of financial manager in an organization (4 marks)
- (d) Financial planning (4 marks)
